Phase I: 1950-1980

India's GDP increased at an annual average rate of 3.5 per cent.[1] During this period, population has also increased at an annual average rate of over 2.00 per cent. Therefore, the real per capita income has increased only at an annual average rate of 1 per cent. During the first decade, real national income went up by 3.8 per cent (1.8%), this rate came down to 3.5 per cent (1.2%) in the 1960s, and 3.1 per cent (1.1%) in the 1970s. During this phase, the nation followed the Socialist regime with the objectives of planning being—rapid industrialisation with emphasis on developing a strong investment goods sector, poverty alleviation, improving per capita incomes and an even distribution of income. Public sectors played a central role to the public sector. Import substitution, export subsidies and stringent restraints on technology and investment cooperation with the rest of the world— kept India somewhat a closed economy. Substantial controls on capacity expansion and licensing requirements for manufacturing industries were also part of the policy strategy.

Phase II: 1980-1990

A reversal of trend occurred during the 1980s: the average annual rate of growth increased to around 5.5 per cent. The socialist flavour of the Nehruvian policies was blamed for the worsening of the growth performance of the Indian economy by the 1970s for these policies are believed to limit the foreign competition and make domestic firms inefficient and also limit a productivity-enhancing structural transformation by restricting the possibilities of resource reallocation to more productive sectors. In contrast, post-1980 period featured several pro-business policies and reforms including import liberalisation, export incentives, exchange rate policies, and expansionary fiscal policy.

Phase III: 1990-2008

In the first three years of the 1990s, the GDP grew at 4 per cent annually. In the following four years, the growth rate jumped to 7.1 per cent but only to fall back to 5.2 per cent in the succeeding five years. The underlying trend growth rate during the decade was just over 6 per cent. However, subsequently the period 2003-08 saw the real GDP grow at 8.2 per cent annually. Meanwhile population growth rate stabilised at around 1.1% per annum. The sustained growth at 8 per cent plus resulted from many serious policy initiatives on the part of the government. Significant lowering of tariff and nontariff barriers (trade policy reforms) along with a major revamping of industrial policies, especially the withdrawal of industrial regulation and liberalisation of foreign direct investment (FDI) were introduced. These, coupled with favourable external environment in the form of rising exports and increasing inflows of foreign capital, set in motion three factors which can be described as three engines of growth.

One, consumption spending was a large contributor to the growth performance. Decreasing relative prices of many goods and services as a result of domestic and global competition, competitive pressures in retail finance and steadily rising incomes compound into a powerful force, even if each of the components may not be very large. *Two, investment* in new capacity was the second engine of growth. Investment activity is characterised by a certain lumpiness, which means

[1].Prof. Raj Krishna had believed that the economy was caught in the "low level equilibrium trap of slow growth" of 3.5 per cent annual growth rate. This came to be known as 'Hindu Rate of Growth'.

that capacity addition comes in spurts, exceeding immediate requirements but anticipating a subsequent catch-up in demand. Investment spending, consequently, goes up sharply at the beginning of a cycle and declines just as abruptly once the desired capacity has been created. The investment cycle was on upswing. Three, exports of both goods and services were the third engine of growth. India's merchandise exports got getting diversified geographically and, therefore, were not very vulnerable to localised business cycles. All these three engines gained an additional boost by what appears to be a sustained, across-the-board increase in productivity.

But this phase also shared one major *weakness* with the previous phase: labour-intensive manufacturing remained sluggish. The end to licensing and to the small-scale industries reservation in most labour-intensive products did not have the intended outcomes in this sector. The reasons for this are well-known (labour market rigidities facing large-scale producers, infrastructure bottlenecks and bureaucratic red tape). Unfortunately, without rapid expansion of the unskilled-labour-intensive industry, progress towards poverty reduction and transition to a modern economy will remain far slower than is feasible.

Phase IV: 2008-2014

The growth process slowed during 2008-09 in the wake of the global economic crisis, although some indicators of slowdown had made their presence felt even earlier. Global economic crisis resulted in (i) fall in inflows of foreign direct investment, (ii) rise in outflows on account of portfolio disinvestment, (iii) decline in export orders from developed market economies, as a result of which domestic investment, employment and consumption slowed down. The slowdown affected all sectors of the economy; growth rate in service sector during 2008-09 came down to 9.3 per cent, against 10.8 in 2007-08, in agriculture to 1.6 per cent from 4.9 per cent, and in industry to 3.9 per cent from 7.4 per cent. The decline in service activity could be attributed to lower demand for off-shoring and IT and IT-enabled services from the US and Europe, where several economies are grappling with debt problems. There was also an impact on financial services as banking activity slowed down on account of higher interest rates and investors were scared of parking their funds in stock markets. Real GDP growth rate slowed down to 6.5% per cent during 2011-12. It continued to be low on subsequent two years 2012-13 and 2013-14. Apart from the slow recovery in India's export destinations there were several domestic policy concerns including– ban on iron ore mining, cancellation of coal blocks, delays in environmental clearances, emergence of the Non Performing Asset (NPA) crisis and the consequent double balance-sheet problem that resulted in this slowdown.

Another major concern at this stage, though not entirely unexpected, was the sharp dip in the growth rate of private consumption. Four factors seem to have contributed to this slowdown. *First*, it could be due to the wealth effect, resulting from a decline in the asset (equity/property) prices. *Second*, the uncertainty in the labour market and some decline in employment in India's tradable sectors may have moderated the growth in consumption expenditure. *Third*, cutbacks in consumer credit by private banks, NBFCs and other lenders, because of their limited deposit base and difficulties in secondary market financing because of the knock-on effect of global financial market freezing. *Fourth*, during slowdown a dominance of precautionary motive may have induced consumers to either defer their spending decisions or shift to unbranded lower quality alternatives.

Similarly, the slowdown in the growth rate of gross fixed capital formation (GFCC) was an area of policy concern from the point of an early return to the high GDP growth path. Apart from the demand shock to the economy several reasons could have contributed to deceleration in growth of GFCF. *First*, surge in domestic inflation in the first half of 2008 reinforced the tightening of monetary policy. It affected the cost and availability of funds for investment. *Second*, since inflation was largely on account of metals and fuels, bulk of it was absorbed by industry, which affected its internal accruals and profitability, reducing the investible funds. *Third*, despite monetary policy becoming accommodative in the second half of 2008, decline in interest rates were not up to the industry expectations.

A significant stimulus package in three tranches was put in place by the government involving expansion in government spending and reduction in indirect taxes to boost domestic demand. By the end of the year 2008-09, India was rapidly returning to the buoyant years preceding 2008.

Phase V: 2014-2019 and 2019 onwards

During the period from 2014-15 to 2018-19, Indian economy registered an average GDP growth rate of 7.5 per cent. Several initiatives taken by the government to spur growth include — government following the 4 R approach of Recognition, Resolution, Recapitalisation and Reforms to strengthen banks and foster clean and responsible banking, simplification of the Labour Laws, bringing reforms in Corporate Affairs, introduction of e-Clearances, relaxing foreign direct investment rules, easing Know Your Customer (KYCs) for investors in Capital Markets, rendering more support to Non-Banking Finance Companies (NBFCs)/ Housing Finance Companies (HFCs) and Micro, Small and Medium Enterprises (MSMEs), introduction of indirect tax reform in the form of Goods and Services Tax (GST), introduction of Insolvency and Bankruptcy Code (IBC) for the speedy resolution of insolvency and bankruptcy cases of companies, Demonetisation to curb black money, corruption and counterfeit notes, which in turn opened gates for cashless economy, etc.

India's GDP growth moderated to 5 per cent in 2019-20 as compared to 6.8 per cent in 2018-19, amidst a weak environment for global manufacturing, trade and demand. The economic state of the Indian economy from 2019 onwards may be identified as 'pause phase'. During the pause phase the clouds over India's economic performance and prospects are getting bigger and darker. First, India's economic growth has slowed, aggregate investment has slackened and it could get worse. Second, inflation needs to be monitored. Third, the country's external imbalances are growing at a time when capital flows are becoming more volatile. Fourth, with investment momentum remaining significantly below its trend, the persistent weakness in consumption is a concern. Consumption has typically provided a steady and elevated floor for India's growth. Fifth, the sub-segment of "trade, hotels, transport and communications," which is typically an important source of resilience for the services sector, is slowing consistently. Sixth, growth in agriculture may take some hit. Seventh, the fiscal-monetary mix is completely out of work and there is hardly any flexibility on the fiscal front. More importantly, some fiscal responsibility will warrant spending cuts and revenue enhancement in order to shrink the fiscal deficit. Likewise, the RBI is expected to anchor expectations without offering one-or two-year forward guidance. Finally, the impact of Covid-19 pandemic on the Indian economy has been largely